

Deconstruct Analysis



Deconstruct is a Bengaluru-based D2C e-commerce brand with a product line focused on ingredient-based skincare.

Founder	Funding	Products	Business Model
Malini Adapureddy (Founder and CEO) - IIT Kharagpur and INSEAD alumnus - Prev worked at P&G and Flipkart	Unfunded	Serums (dermocosmetics): - Exfoliating serum - Breakout control serum - Brightening serum - Hydrating serum - Pore control serum	- D2C Model - Product Category: Mass-Premium (price positioning) - Distribution Channels: 1. Website 2. E-commerce marketplaces (Amazon, Purplle and Sublime Life)

Growth Strategies

- Signing up influencers for generating reviews leading to deeper engagement with their target customers.
- Engagement via social media platforms like Instagram, Facebook, LinkedIn, and YouTube
- Using a D2C approach which has been fueled by the increased digital engagement of customers in the past couple of years
- Published blogs on categories like:
 1. **Ingredients:** Includes articles on various queries one might have for any specific ingredients.
 2. **Skin information:** Includes various articles related to common skin textures/elements/issues related queries



Insight: A special focus on content is a great feature inculcated by many D2C brands since it helps in educating the customers, market themselves, and also aids in better SEO and discoverability.

USP

- Caters to two major market trends; offers ingredient-based products and also a guide about DIY combinations to solve multiple skin problems.
- A strong R&D is depicted in all the scientific information about ingredients accompanying the product descriptions and in blogs with a thorough instruction guide and FAQ section.



Insight: A strong R&D, depicted by the scientific descriptions automatically aids in establishing trust with the customers, an important aspect for the growth of D2C brands.

Global Competitors

Brand	Funding	Founding Year	Category
The Ordinary.	Undisclosed	2013 (Toronto, Canada)	Ingredient-based Skincare
THE INKEY LIST	- Amount Undisclosed - Investors: Unilever Ventures	2018 (Nottingham, UK)	Ingredient-based Skincare
BEAUTY BAY	Unfunded	1999 (Manchester, UK)	Marketplace for Beauty Products
REVOLUTION BEAUTY LONDON	Publicly-held Company	2013 (London, UK)	Beauty brand offering ingredient-based skincare as a subcategory
Boots	-	1849 (Nottingham, UK)	Pharmacy-led health and beauty group
Superdrug	-	1964 (Croydon, UK)	Health and beauty retailer

Insights:

1. Well established brands in the Global Market such as The Ordinary and The Inkey List demonstrate that Ingredient-based Skincare products are successful.
2. Old well established beauty players like Boots and Superdrug adopting Ingredient-based Skincare products demonstrates that it has great scope of growth.



Indian Competitors

Brand	Funding	Founding Year	Category
minimalist_	- USD 15 Mn (Series A) - Investors: Sequoia Capital and Unilever Ventures	2020 (India)	Ingredient-based Skincare
DOT & KEY	Unfunded	2018 (Kolkata)	Ingredient-based Skincare
derma ^{co}	part of Honasa Consumer Pvt Ltd (HCPL)	2020	Ingredient-based Skincare
DR. SHETH'S - for indian skin -	- INR 40 Mn (Seed) - Investors: Mumbai Angels	2015	Dermatologist formulated luxury skincare
Re'equil	Undisclosed	2016 (Gurgaon)	Offers topical cosmetic-pharmaceutical hybrid formulations

Insight:



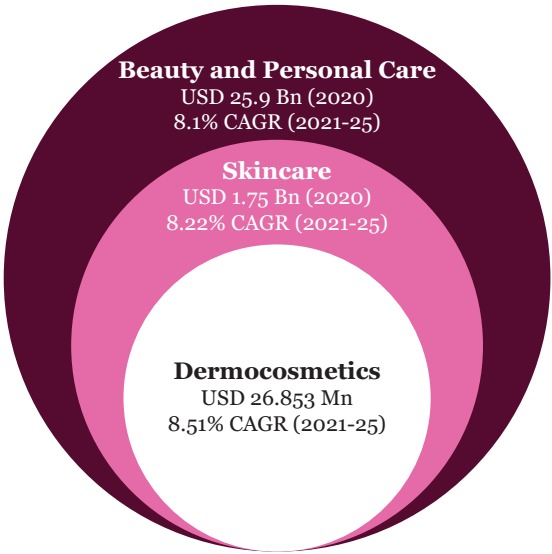
1. Investment Trends and capital inflow by VC Firms like Sequoia and Unilever Ventures demonstrates a fast growing market.
2. Indian Ingredient-based skincare brands are established recently compared to global players, showing that the market is in its initial stage.

Market

Need and scope of ingredient-based skincare products

1. **Whitespace and premiumization:** The trend of premiumization in India has started picking up pace and people are now willing to spend more on mass premium products that offer solutions to nicher problems. A dermo-cosmetic fits perfectly into such a whitespace and contains many growth opportunities which can be tapped into.
2. **Change in customer sentiments:**
 - Shift towards mental and physical well-being through use of natural, organic, anti-fatigue, antipollution, anti-aging products
 - Heightened sense of individualism in purchase and choice, willingness to spend.
 - Improved awareness regarding skin health
 - Ingredient-based products offer transparency and since the ingredients are delivered in much stronger concentrations, quicker results appeal to the consumers.
 - Openness to experimentation

Market Size in India



Since deconstruct falls under the category of dermocosmetics, the Indian market size for the same can be viewed as above

My Thoughts and insights

1. Distribution for Deconstruct can be expanded to marketplaces like Nykaa and other specialists channels like chemists and health and beauty specialist stores.
2. Giant BPC brands acquiring relatively newer brands has been a recent trend. Hence Deconstruct must devise relevant strategies like B2B Partnerships and Co-branding with similar complementary brands in the BPC sphere (For Example:One such synergy can be established with companies manufacturing makeup tools like Gua Sha sets, owing to their popularity amongst the GenZ population)
3. As compared to the global trend where old well-established companies have launched separate verticals in ingredient-based skincare, no such launch has been observed by the Indian giants, all the players in this market being startups. One probable reason can be the fact that over the decades these brands have marketed themselves to solve unrealistic issues, not backed by science. Ingredient-based skincare is in absolute contrast to this and giants cannot afford an abrupt flip in their branding.
4. Since D2C brands do not have a physical presence in the offline market to appeal to the customers, elements like the design, UI/UX, and user experience of their websites is the face value of the brand.
 - What I really liked about Deconstruct was the shopper's journey: As soon as I clicked "Add to Cart", the website prompted me to not make a sale until I have understood whether the product will work for my skin type by chatting with them or reading a blog.
 - What I didn't like was the extremely generic UI and a slow website.